

1. So, how are mutual funds managed?

When we hear mutual funds, we picture a team of experts selecting stocks that are doing well and constantly changing the portfolio to give better returns.



Team of Investors



Stock Market

Changing Portfolio



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▲ Return in Portfolio

These funds fall into the category of actively managed funds, where fund managers actively make investment decisions based on thorough research into a company's fundamentals and economic trends.

There's another approach too—some funds prefer a more straightforward strategy. Instead of fund managers individually deciding where to invest, how much to invest, and when to buy or sell, these funds opt to replicate an index to mimic its performance.

**And these funds are aptly named passively managed funds.
But what exactly is this index they are replicating?**